Practice workbook · Will profit (or working capital) go up, down or stay the same?

Deciding whether a transaction, a missed adjustment, a cost put in the wrong category or the correction of an error makes gross profit or profit for the year higher or lower, or leaves it unchanged, and whether a figure ends up overstated or understated. Also covers the same tick-table method applied to working capital (current assets less current liabilities).

17 question parts: 1 worked-example retry and 16 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

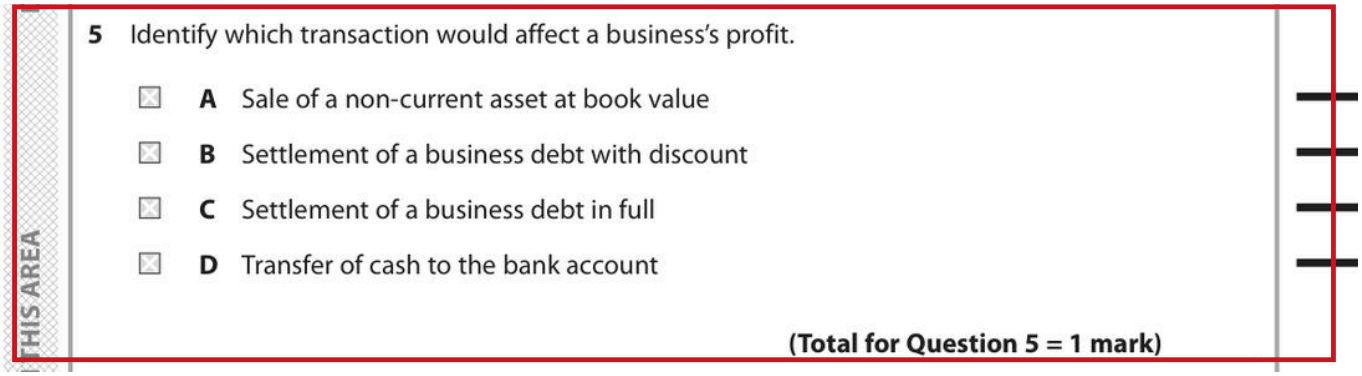
OLevels.com SCHOOL

Type ID: ACC-FS-03

1. Question 5 · part whole · 1 mark

2024 NOV · Paper 01

Worked-example retry · Attempt part whole only.



5 Identify which transaction would affect a business's profit.

- ☒ **A** Sale of a non-current asset at book value
- ☒ **B** Settlement of a business debt with discount
- ☒ **C** Settlement of a business debt in full
- ☒ **D** Transfer of cash to the bank account

(Total for Question 5 = 1 mark)

DO NOT WRITE IN THIS AREA

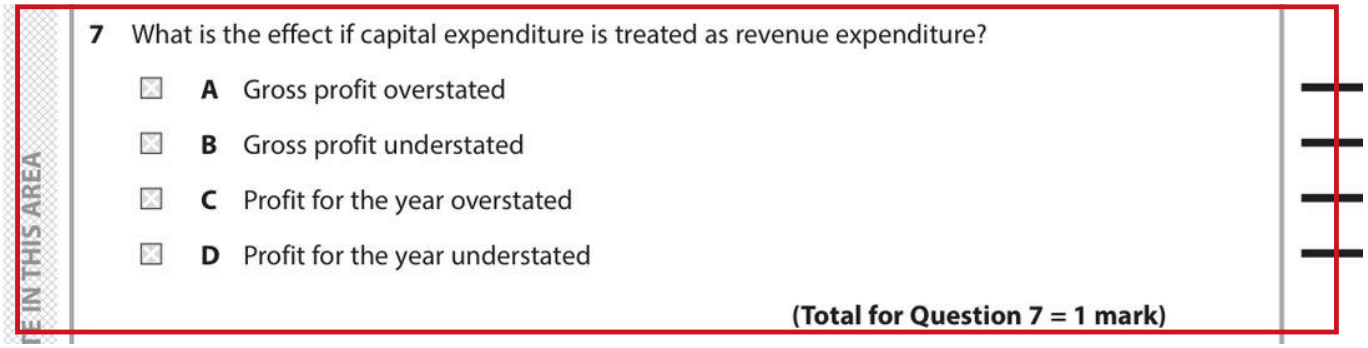
Working and answer

OLevels.com SCHOOL

2. Question 7 · part whole · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part whole only.



7 What is the effect if capital expenditure is treated as revenue expenditure?

- ☒ **A** Gross profit overstated
- ☒ **B** Gross profit understated
- ☒ **C** Profit for the year overstated
- ☒ **D** Profit for the year understated

(Total for Question 7 = 1 mark)

Working and answer

OLevels.com SCHOOL

3. Question 8 · part whole · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part whole only.

8 Identify the effect on profits if revenue expenditure is treated as capital expenditure.

- ☒ **A** Gross profit overstated
- ☒ **B** Gross profit understated
- ☒ **C** Profit for the year overstated
- ☒ **D** Profit for the year understated

(Total for Question 8 = 1 mark)

DO NOT WRITE IN THIS

Working and answer

OLevels.com SCHOOL

4. Question 18 · part c.i · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part c.i only.

18 (a) Explain **one** reason why it is necessary to provide for depreciation on non-current assets.

(2)

On 1 January 2022 the balance on the motor vehicles cost account was $76 600

On 1 March 2022 a motor vehicle was sold for $12 000, payment being received by cheque. This motor vehicle was originally purchased on 1 January 2020 for $18 000

On 1 June 2022 a new motor vehicle was purchased costing $21 500, paid for by cheque.

Motor vehicles are depreciated at 25% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

4. Question 18 · part c.i · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part c.i only.

(b) Prepare the following accounts for the year ended 31 December 2022.

(9)

Motor Vehicles – Cost Account

Date	Details	$	Date	Details	$

Disposal Account

Date	Details	$	Date	Details	$

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

4. Question 18 · part c.i · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part c.i only.

(c) (i) Identify, indicating with a tick (✓), the effect on gross profit if the purchase of the new vehicle was treated as revenue expenditure.

(1)

Overstated	
Understated	
No effect	

(ii) Explain why the purchase of the new motor vehicle was treated as capital expenditure.

(3)

(Total for Question 18 = 15 marks)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS

OLevels.com SCHOOL

Working and answer

5. Question 17 · part b.iii · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part b.iii only.

17 (a) Explain each term:

(i) capital expenditure

(2)

(ii) revenue expenditure.

(2)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

5. Question 17 · part b.iii · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part b.iii only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

Dominic prepares financial statements to 30 June each year.

On 1 July 2025 Dominic purchased a new motor van.

	$
Basic cost price	45 000
Delivery cost	810
Road fund licence	360
Insurance	1 080
Installation of shelving	590
Annual maintenance contract	860

OLevels.com SCHOOL

(b) Calculate for the new motor van the total amount of:

(i) capital expenditure

(1)

(ii) revenue expenditure.

(1)

(iii) Identify, indicating with a tick (✓), the effect on gross profit if the total purchase cost of the new motor van was treated as revenue expenditure.

(1)

Overstated	
Understated	
No effect	

5. Question 17 · part b.iii · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part b.iii only.

On 1 July 2022 Dominic purchased new machinery at a cost of $36 500

On 1 August 2024 he sold the machinery to Gerhardt for $24 600

Gerhardt paid one third of the sale price by bank transfer on that date with the remainder being transferred to a loan account.

Depreciation is charged at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase and none in the year of disposal.

(c) (i) Calculate the carrying value of the machinery at 1 August 2024.

(1)

.....

.....

(ii) Prepare the disposal account for the year ended 30 June 2025.

(7)

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 17 = 15 marks)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

5. Question 17 · part b.iii · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 10 · part whole · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part whole only.

10 Which **one** of the following shows the effects of omitting the depreciation charged?

	Non-current assets	Profit for the year
☒ **A**	Overstated	Overstated
☒ **B**	Overstated	Understated
☒ **C**	Understated	Overstated
☒ **D**	Understated	Understated

(Total for Question 10 = 1 mark)

AREA DO NOT

Working and answer

OLevels.com SCHOOL

7. Question 10 · part whole · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part whole only.

10 What is the effect when a trader does not account for rent paid in advance?

- ☒ **A** Gross profit overstated
- ☒ **B** Gross profit understated
- ☒ **C** Other receivables overstated
- ☒ **D** Other receivables understated

(Total for Question 10 = 1 mark)

DO NOT WRITE IN THIS AREA

Working and answer

OLevels.com SCHOOL

8. Question 9 · part whole · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

9 Identify the effect on the financial statements when a trader does not account for expenses owing.

- ☒ **A** Gross profit overstated
- ☒ **B** Gross profit understated
- ☒ **C** Other payables overstated
- ☒ **D** Other payables understated

(Total for Question 9 = 1 mark)

DO NOT WR

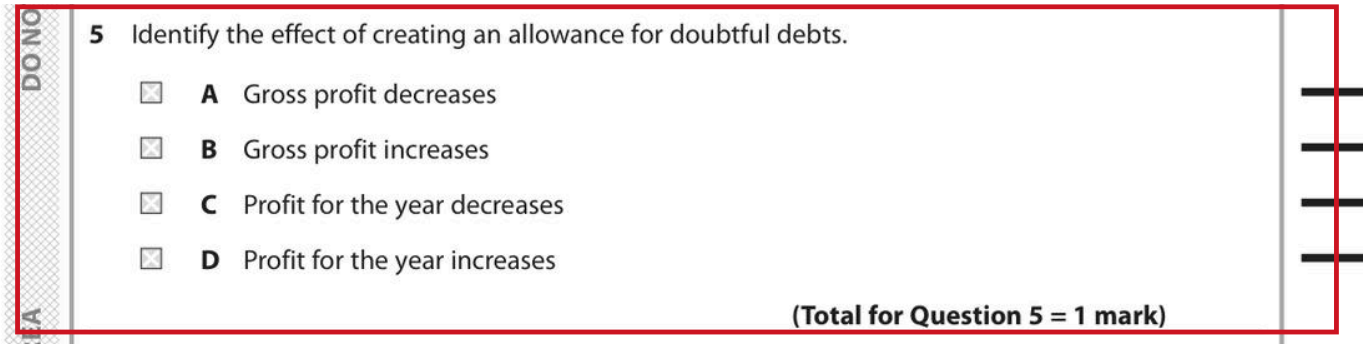
Working and answer

OLevels.com SCHOOL

9. Question 5 · part whole · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.



DO NO

5 Identify the effect of creating an allowance for doubtful debts.

- ☒ **A** Gross profit decreases
- ☒ **B** Gross profit increases
- ☒ **C** Profit for the year decreases
- ☒ **D** Profit for the year increases

(Total for Question 5 = 1 mark)

IEA

Working and answer

OLevels.com SCHOOL

10. Question 18 · part d · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

18 (a) State the accounting concept that applies when creating a provision for irrecoverable debts.

(1)

.....

Asif has been experiencing difficulties in getting his trade receivables to pay their accounts on time.

(b) Explain **two** ways Asif could encourage his trade receivables to pay on time.

(4)

1 .....

.....

.....

2 .....

.....

.....

Asif maintains a provision for irrecoverable debts of 2% of trade receivables. On 1 January 2024, the trade receivables balance was $24 000 and on 31 December 2024, it was $28 000

(c) Prepare the provision for irrecoverable debts account for the year ended 31 December 2024. Balance the account at that date and bring the balance down on 1 January 2025.

(3)

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

10. Question 18 · part d · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(d) Explain the effect on the profit for the year ended 31 December 2024 if Asif's trade receivables had decreased and his provision for irrecoverable debts was maintained at 2% of trade receivables.

(2)

Asif is considering selling goods for cash only, with all customers being required to pay for their goods immediately.

(e) Advise Asif whether he should proceed with this proposal.

(5)

OLevels.com SCHOOL

10. Question 18 · part d · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

11. Question 15 · part c · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

15 Yasin has prepared a trial balance at 30 April 2019 that did not balance. The totals were debit $41 970 and credit $42 550.

The following errors and omissions were discovered.

1. The total of the sales day book had been overcast by $200.
2. Motor repairs, $180, had been posted to the debit side of the motor vehicles account.
3. A payment of $450 to Raul, a credit supplier, had been entered correctly in the cash book but had not been posted to Raul's account.
4. Discounts received of $80 had been posted to the debit side of the discounts allowed account.
5. Cash sales, $540, had not been recorded.
6. A payment for rent $430 had been recorded correctly in the cash book but as $340 in the rent account.

(a) Complete the table.

(3)

Error	Type of error
2	
5	
6	

(b) Prepare the suspense account at 30 April 2019.

(6)

Suspense Account

Date	Details	$	Date	Details	$

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

P 6 2 0 0 9 A 0 1 0 2 0

11. Question 15 · part c · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(c) Complete the table to indicate with a tick (✓) the effect the **correction** of each error would have on the profit for the year.

(6)

Error	Increase	Decrease	No effect
1			
2			
3			
4			
5			
6			

(Total for Question 15 = 15 marks)

OLevels.com SCHOOL

11. Question 15 · part c · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

12. Question 15 · part b · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part b only.

15 On 31 August 2023 Jones, a sole trader, identified the following errors and omissions.

1. A withdrawal of cash for personal use, $650, had not been recorded.
2. A payment for motor expenses, $234, had been posted to the motor vehicles account.
3. A cheque paid for general expenses, $65, had been entered in the cash book as $56

(a) Prepare journal entries to record the correction of **each** of these errors and omissions.
Narratives are not required.

(6)

	Account	Debit $	Credit $
August 31			

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

12. Question 15 · part b · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA

(b) Identify, indicating with a tick (✓), the effect, if any, on the profit for the year ended 31 August 2023 following the correction of **each** error and omission.

(3)

Error	Increase	Decrease	No effect
1			
2			
3			

(c) State which account is opened when a trial balance does not balance.

(1)

.....

(d) (i) Explain **one** benefit of preparing a trial balance.

(2)

.....

.....

.....

.....

(ii) Explain **one** limitation of preparing a trial balance.

(3)

.....

.....

.....

.....

.....

(Total for Question 15 = 15 marks)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM — SCHOOL —

12. Question 15 · part b · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

13. Question 14 · part c.i · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part c.i only.

14 Rodrigo provided the following balances at 30 April 2023.

(a) Prepare the trial balance entering any difference in an appropriate account.

(9)

Trial balance at 30 April 2023			
Account	**Balance $**	**Debit $**	**Credit $**
Bank loan	18 450		
Carriage inwards	183		
Cash	3 964		
Drawings	19 730		
Equipment cost	37 860		
Equipment provision for depreciation	13 940		
Equity	28 500		
General expenses	21 010		
Inventory at 1 May 2022	23 940		
Purchases	69 875		
Revenue	136 210		
Trade payables ledger control	8 352		
Trade receivables ledger control	17 197		
Wages	6 000		
Total			

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

13. Question 14 · part c.i · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part c.i only.

DO NOT WRITE IN THIS AREA

(b) State the type of error in each scenario.

(2)

Scenario	Type of error
Cash drawings of $175 had not been recorded.	
Wages of $180 had been recorded in the cash book as $80	

(c) Explain the effect on owner's equity of:

(i) **not** recording cash drawings of $175

(2)

(ii) recording wages as $80 instead of $180

(2)

(Total for Question 14 = 15 marks)

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

Working and answer

14. Question 14 · part c.ii · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part c.ii only.

14 Rodrigo provided the following balances at 30 April 2023.

(a) Prepare the trial balance entering any difference in an appropriate account.

(9)

Trial balance at 30 April 2023			
Account	**Balance $**	**Debit $**	**Credit $**
Bank loan	18 450		
Carriage inwards	183		
Cash	3 964		
Drawings	19 730		
Equipment cost	37 860		
Equipment provision for depreciation	13 940		
Equity	28 500		
General expenses	21 010		
Inventory at 1 May 2022	23 940		
Purchases	69 875		
Revenue	136 210		
Trade payables ledger control	8 352		
Trade receivables ledger control	17 197		
Wages	6 000		
Total			

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

14. Question 14 · part c.ii · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part c.ii only.

DO NOT WRITE IN THIS AREA

(b) State the type of error in each scenario.

(2)

Scenario	Type of error
Cash drawings of $175 had not been recorded.	
Wages of $180 had been recorded in the cash book as $80	

(c) Explain the effect on owner's equity of:

(i) **not** recording cash drawings of $175

(2)

(ii) recording wages as $80 instead of $180

(2)

(Total for Question 14 = 15 marks)

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

Working and answer

15. Question 2 · part c · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

2 (a) Identify, by indicating with a tick (✓), where in the financial statements each item would be shown.

The first item has been completed for you.

(6)

Item	Manufacturing account	Income statement	Statement of financial position
Purchase of raw materials	✓		
Accumulated depreciation – plant and machinery			
Carriage outwards			
Factory supervisor's salary			
Purchase of finished goods			
Returns inwards			
Royalties paid			

Dumadi, a manufacturer, provided the following information.

At 1 April 2018	$
Inventories	
Raw materials	12 500
Work in progress	3 600
Finished goods	5 500
Plant and machinery	
Cost	112 400
Accumulated depreciation	65 400
At 31 March 2019	
Prime cost	274 410
Indirect factory wages	16 320
Factory light, heat and power	9 620
Other receivables – rent and rates	1 800
Rent, rates and insurance	37 800
Inventories	
Raw materials	9 200
Work in progress	3 200
Finished goods	8 400

- Rent, rates and insurance are apportioned 70% to the factory and 30% to the office.
- Depreciation is provided on plant and machinery at 20% per annum using the reducing balance method.

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 6 1 9 9 7 A 0 6 1 2

15. Question 2 · part c · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

(b) Prepare the manufacturing account for the year ended 31 March 2019 starting with the prime cost.

(9)

Dumadi
Manufacturing account for the year ended 31 March 2019

	$
Prime cost	274 410

OLevels.com SCHOOL

15. Question 2 · part c · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(c) Complete the table, by indicating with a tick (✓) the effect each transaction would have on the profit for the year of a manufacturer.

(3)

	Increase	Decrease	No effect
Purchase of plant and machinery			
Increase in the allowance for doubtful debts			
Increase in the closing inventory of finished goods			

(d) Discuss the reasons why Dumadi uses the reducing balance method to depreciate his plant and machinery rather than the straight line method.

(5)

OLevels.com SCHOOL

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

15. Question 2 · part c · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

16. Question 2 · part e · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

2 (a) State **one** advantage and **one** disadvantage of forming a partnership.

(2)

Advantage

.....

.....

Disadvantage

.....

.....

Able and Beena are in partnership sharing profits and losses in the ratio 3:1.

The partnership agreement also provided for:

- interest on capital at 8% per annum
- interest on drawings at 10% per annum
- an annual salary of $7 200 for Beena.

The following information was available at 1 May 2020

Account	Able $	Beena $
Capital	75 000	25 000
Current	1 500	2 750 Dr

For the year ended 30 April 2021 profit for the year was $26 550 and total drawings were Able $16 000, Beena $10 500

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

16. Question 2 · part e · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

(b) Prepare the appropriation account for the year ended 30 April 2021.

(8)

Able and Beena
Appropriation account for the year ended 30 April 2021

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

16. Question 2 · part e · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

(c) Prepare Beena's current account for the year ended 30 April 2021. Balance the account on that date and bring the balance down on 1 May 2021.

(6)

Current Account – Beena

Date	Details	$	Date	Details	$

(d) State **one** reason why a partner may have a debit balance in their current account.

(1)

.....

.....

(e) State, indicating with a tick (✓), the effect, if any, each transaction would have on a partnership's profit for the year.

(3)

Transaction	Increase	Decrease	No effect
A partner withdraws goods for their own use.			
A partner purchases stationery for the business from their own monies.			
A partner introduces capital into the business.			

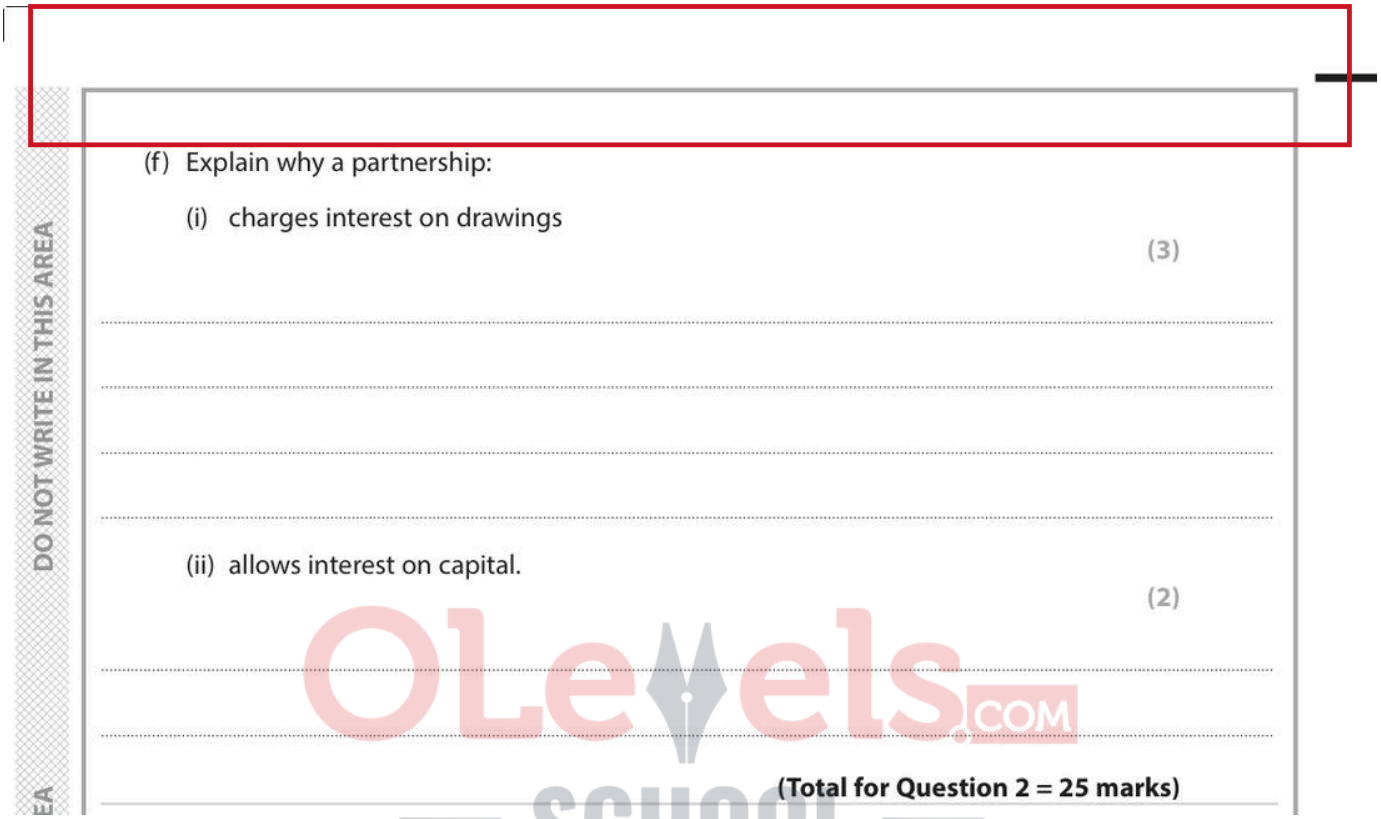
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 6 6 4 7 0 R A 0 8 1 2

16. Question 2 · part e · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.



(f) Explain why a partnership:

(i) charges interest on drawings

(3)

(ii) allows interest on capital.

(2)

(Total for Question 2 = 25 marks)

DO NOT WRITE IN THIS AREA

Working and answer

17. Question 2 · part d · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

2 Taimur and Soha are in partnership. The partnership agreement provided for:

- interest on capital at 10% per annum
- interest on drawings at 5% per annum
- an annual salary of $15 000 for Taimur
- profits and losses to be shared in the ratio of 3 : 2.

The following information was available at 31 March 2020.

	Taimur $	Soha $
Capital account at 1 April 2019	75 000	50 000
Current account at 1 April 2019	4 750 Dr	3 500
Drawings for the year	20 000	16 000

(a) Prepare the appropriation account for the year ended 31 March 2020.

(7)

Taimur and Soha
Appropriation account for the year ended 31 March 2020

	$
Profit for the year	65 000

OLevels.com SCHOOL

17. Question 2 · part d · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

(b) (i) Prepare the current account of Taimur for the year ended 31 March 2020.
Balance the account on this date and bring the balance down on 1 April 2020.

(6)

Current Account – Taimur

Date	Details	$	Date	Details	$

(ii) State **one** reason why a debit balance may arise on a partner's current account.

(1)

.....

.....

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

6

P 6 3 0 1 2 A 0 6 0 8

17. Question 2 · part d · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

The partners believe that they had a very successful year as the profit for the year as a percentage of revenue has increased.

	2019	2020
Gross profit percentage	25%	25%
Profit for the year as a percentage of revenue	12%	15%
Return on capital employed	13.5%	10%

(c) Evaluate the change in profitability of the business over the two years and state whether the partners are correct.

(5)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

17. Question 2 · part d · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

(d) State, indicating with a tick, (✔), the effect on working capital of **each** of the following transactions.

(6)

Transaction	Increase	Decrease	No effect
Purchase of a non-current asset by cash			
Sale of a non-current asset on credit			
Non-current asset taken by owner for own use			
Purchase of inventory on credit			
Sale of inventory for cash			
Inventory taken by the owner for own use			

(Total for Question 2 = 25 marks)

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

17. Question 2 · part d · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL